Cars24 Financial Services Private Limited

October 12, 2026

Facilities/Instruments	Name of the Regulator[1]	Amount (₹ crore)	Rating[2]	Rating Action
Long-term / Short-term bank facilities	RBI	500.00 (Enhanced from 350.00)	CARE BBB+; Positive / CARE A2	Reaffirmed; Outlook revised from Stable

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has revised the outlook to Positive from Stable on long-term rating of CARE BBB+ for bank facilities of Cars24 Financial Services Private Limited (CSFPL) and reaffirmed its short-term rating. Revision in outlook reflects CareEdge Ratings' expectations that CSFPL will continue to scale up its operations while maintaining a comfortable asset quality with controlled credit costs, which will support improvement in its earnings profile going forward.

Ratings factor in continued support from its parent, Cars24 Services Private Limited (CSPL) in the form of capital infusion and availability of healthy liquidity at the group level. Ratings also take note of CFSPL's adequate capitalisation for current scale of operations, its improved asset quality metrics. CareEdge Ratings does not foresee an immediate capital need for the company in the near future; however, it will need to raise capital in the medium term to support its growth plans.

However, ratings are constrained by its moderate profitability, although its Q1FY27 profitability (provisional) improved. While the company turned profitable, its operational efficiency can further improve, supporting its overall profitability. Its ability to contain the credit cost will remain important. Ratings also factor in its concentrated funding profile. Its ability to mobilise funds from diversified set of lenders at competitive rates will be crucial.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors

- Significantly growing scale of operations while improving asset quality and profitability with return on total assets (RoTA) of over 2.0%.
- Parent, CSPL's, becoming net profitable at a consolidated level.

Negative factors

- Sustained deterioration in asset quality with gross non-performing assets (GNPA) ratio rising above 4.0%.
- Moderating assets under management (AUM)/net worth ratio to above 7x.
- Significant or higher-than-envisaged level of net losses reported by the parent, CSPL or lower-than-expected support from CSPL.

Analytical approach: Standalone, factoring linkage with parent, CSPL, given strong operational and financial support.

Outlook: Positive

CareEdge Ratings expects CFSPL to continue to scale up while gradually improving its profitability and asset quality. CareEdge Ratings also expects CFSPL to continue to leverage the linkage with its parent, CSPL.

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

[2]Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Detailed description of key rating drivers

Key strengths

Adequate capitalisation with support from parent

CFSPL had a healthy capital adequacy ratio (CAR) of 45.12% as on March 31, 2026 (38.91% as on June 30, 2026), compared to 40.67% as on March 31, 2025, well-above the regulatory requirement of 15%. Its leverage in terms of AUM-to tangible net worth (TNW) stood at 4.47x in June 2026 (4.46x in March 2026) compared to 3.45x as on March 31, 2025. At parent level, CSPL had free net worth of ₹2169.07 crore (excluding for investments in group companies), against which its external debt stood at ₹341.33 crore. It had cash and liquid investments accumulating to ₹1109.24 crore.

Being a wholly owned subsidiary of CSPL (which is a wholly owned subsidiary of Global Car Group [GCG]), CFSPL has Ruchit Agarwal and Gajendra Jangid (co-promotors of group) on its board as directors. CFSPL has strong operational linkage with its parent as almost all of CFSPL's business is sourced via CSPL's digital platform and channels, leading to synergies in sourcing costs, which is borne by CFSPL at arm's length. Technology enabled operations, dealer network of over 50,000 across India, in-house valuation and CSPL's inventory system helps CFSPL in liquidation. CSPL's refurbishment facility helps CFSPL in easy selling of repossessed cars and making recoveries.

Growing scale of operations

CFSPL has reached to AUM of ₹ 2,114.70 crore as on June 30, 2026, up by 24% from ₹ 1711.80 crore as on March 31, 2026, growing at three years compounded annual growth rate (CAGR) of 25% till FY26 and at a yearly growth of 42% in FY26. AUM as on March 31, 2026, comprises own book accounting for 87%, and off-book accounting for 13%. CareEdge Ratings notes that the onward lending agreement with the non-banking financial company (NBFC) has been terminated in April 2024, with full and final settlement on December 24, 2025, owing to higher delinquencies in this portfolio, and thereby, this book is on run down basis. CFSPL's 98% of the AUM is towards retail segment through direct retail loan (DRL) product segment and balance is towards dealer business through direct business loan (DBL) product segment, as on March 31, 2026. CSFPL's ability to continue to scale up business at a healthy pace while improving asset quality shall remain monitorable.

Improved asset quality

CSFPL's asset quality improved in FY26 with GNPA and net NPA (NNPA) declining to 0.77% and 0.38% as on March 01, 2026, from 3.99% and 1.73% as on March 2025, mainly due to sell down of a segment of first loss default guarantee (FLDG) linked business to the collection partner. Excluding the FLDG-pool sold, its GNPA and NNPA stood at 1.40% and 0.70% respectively in March 2026, which improved in FY26 supported by increase in scale and recovery from stressed assets. In June 2026, GNPA and NNPA further declined to 0.75% and 0.36% respectively. Given increase in its growth rate in FY26 and expected continued pace, CSFPL's ability to maintain its asset quality shall remain monitorable.

Key weaknesses

Moderate profitability

In FY26, the company reported a profit after taxation (PAT) of ~₹ 21 crore, translating into a RoTA of 1.49% and return on net worth (RONW) of 4.60%, against PAT of ~₹7 crore (with a RoTA of 0.50% and RONW of 1.89%) in FY25. This improvement in PAT was considering sell down of FLDG-linked book which led to reversal of credit cost to tune of ₹10-12 crore in FY26; there was direct assignment (DA) income of ₹9 crore in the year as the company entered DA. In Q1FY27, the provisional PAT stood at ~₹10 crore with an annualised RoTA of 2.17% and annualised RoNW of 6.65%. While there has been an improvement in its profitability in Q1FY27 and CareEdge Ratings expects the earnings profile to improve, which remains affected by high opex ratio and will remain a key monitorable for its credit profile.

At parent level, CSPL has been reporting continuous losses since inception at net profile level which continues till date and negative cash flow from operations. In FY26 it reported a net loss of ₹365.61 crore against a loss of ₹521.56 crore in FY25. Given linkages with the parent, CSPL's profitability shall also be a key rating sensitivity for the company.

Concentrated funding profile

CFSPL has a concentrated borrowing profile with relationships with few private sector banks and NBFCs. Its external funding profile as on March 31, 2026, comprised 27% from banks, 45% from securitisation, 14% from NBFCs and 14% from parent. The company has relationships with banks and NBFCs and its share increased to 27% in FY26 from 20% in FY25. Average cost of funding stood at 6.28% in FY26 and 8.79% in Q1FY27. Its funding profile will remain a key monitorable in the future.

Liquidity: Adequate

Per the asset liability management (ALM) statement as on June 30, 2026, there were no negative cumulative mismatches across time buckets. CFSPL had cash and bank balance of ₹117 crore as on June 30, 2026, and ₹210 crore of undrawn sanction lines as on June 30, 2026, including intercompany lines, against debt obligations of ₹460 crore in the next over year and schedule collections of ₹493 crore over same period. Its average collection efficiency (CE; including overdue recoveries) in Q1FY27 stood at 98.02%. Material dip in its credit enhancement (CE) could impact its liquidity profile.

Environment, social, and governance (ESG) risks

Not applicable

Applicable criteria

Definition of Default
Factoring Linkages Parent Sub JV Group
Rating Outlook and Rating Watch
Financial Ratios - Financial Sector
Short Term Instruments
Non Banking Financial Companies

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non-banking financial company (NBFC)

CFSPL is a non-deposit taking, investment and credit company – non-banking finance company (NBFC-ND-ICC) categorised as middle layered, registered with Reserve Bank of India (RBI). The company was incorporated on September 17, 2018, while the operations started in August 2019. It is a wholly owned subsidiary of CSPL, which is a wholly owned subsidiary of GCG. CFSPL is lending arm of tech startup, CSPL. CFSPL, set up as a forward integration strategy, is engaged in providing finance for used vehicles to retail and dealers.

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	June 30, 2026 (UA)
Total income	316.26	318.09	107.80
Profit after tax (PAT)	6.80	21.40	9.71
Assets under management (AUM)	1205.85	1711.80	2114.70
On-book gearing (x)	2.23	1.57	2.15
AUM / tangible net-worth (TNW) (x)	3.45	2.95	3.60
Gross non-performing assets (NPA) / gross stage three (%)	3.99%	0.77%	0.75%
Return on managed assets (ROMA) (%)	0.94%	1.40%	1.87%
Capital adequacy ratio (CAR) (%)	40.67%	45.12%	38.91%

A: Audited; UA: Unaudited; Note: these are latest available financial results

Status of non-cooperation with previous CRA:
Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:
A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based - LT/ ST-Term loan	RBI	NA	-		-	19-05-2029	500.00	CARE BBB+; Positive / CARE A2

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based - LT/ ST-Term loan	LT/ST	500.00	CARE BBB+; Positive / CARE A2	-	1)CARE BBB+; Stable / CARE A2 (10-Dec-25)	1)CARE BBB+; Stable / CARE A2 (11-Sep-24)	-

LT/ST: Long term/Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please click here

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact	Analytical Contacts
Mradul Mishra Director **CARE Ratings Limited** Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in	Priyesh Ruparelia Director **CARE Ratings Limited** Phone: 022-67543593 E-mail: Priyesh.ruparelia@careedge.in
Relationship Contact Pradeep Kumar V Senior Director **CARE Ratings Limited** Phone: 044-28501001 E-mail: pradeep.kumar@careedge.in	Jatin Arora Associate Director **CARE Ratings Limited** Phone: 120-4452000 E-mail: Jatin.arora@careedge.in Swapnil Lohani Rating Analyst **CARE Ratings Limited** E-mail: Swapnil.lohani@careedge.in

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